

## EXECUTIVE SUMMARY

# What The Backtest Is Actually Saying

This is a short decision memo, not the full report. It separates the investable core from the high-reward but hard-to-live-through ideas. The goal is simple: earn enough, survive the bad years, and avoid fooling ourselves with forward-looking bias.

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Current regime: Fragile Late-Cycle Watch

Quadrant: Growth Down / Inflation Down

History tested: 2006-2026

## BOTTOM LINE

### Keep The Unlevered Reserve Rule As Core

The best balanced engine is the unlevered quality rotation, but the most usable live portfolio is still the unlevered reserve rule. The x3 variants create big headline returns and unacceptable path risk. A 90% drawdown is not theoretical here.

- Best unlevered growth engine: Quality Rotation, about +11.2% CAGR with -35.6% max drawdown.
- Best steadier-risk profile: Reserve Rule, about +10.0% CAGR with -31.5% max drawdown.
- Why the 2000% number appears: Quality x3 compounded from a much riskier path; it is a leveraged total-return figure, not an annual rate.
- What not to ignore: SPY x3 still ended near +5.4% CAGR but with -93.4% max drawdown.

## PRINCIPLE 1

### Protect The Downside First

The reserve rule earns less than the fastest strategy, but it keeps the path smoother. That matters because strategies only work if you can hold them through the bad times.

## PRINCIPLE 2

### Borrow Only After You Earn The Right

Leverage is not alpha. It amplifies whatever quality already exists. In this dataset, the x3 variants raise reward and slash survivability.

## PRINCIPLE 3

### Separate Prediction From Proof

The model signal is one thing. The proof is the untouched holdout and the walk-forward history. They are both shown here, separately.

## LOWER RISK / STEADIER REWARD

### Reserve Rule

This is the capital-preservation bucket: smoother path, smaller drawdowns, slower wealth growth

## BALANCED RISK / STRONG REWARD

### Quality Rotation

This is the efficient middle: meaningful compounding without borrowing and without catastrophic path risk

## HIGH RISK / HIGH REWARD

### Reserve x3

Reward can be large, but the path is violent and hard to hold in live capital.

CAGR +10.3% | Max DD -49.9%

## EXTREME RISK / WEAK REWARD QUALITY

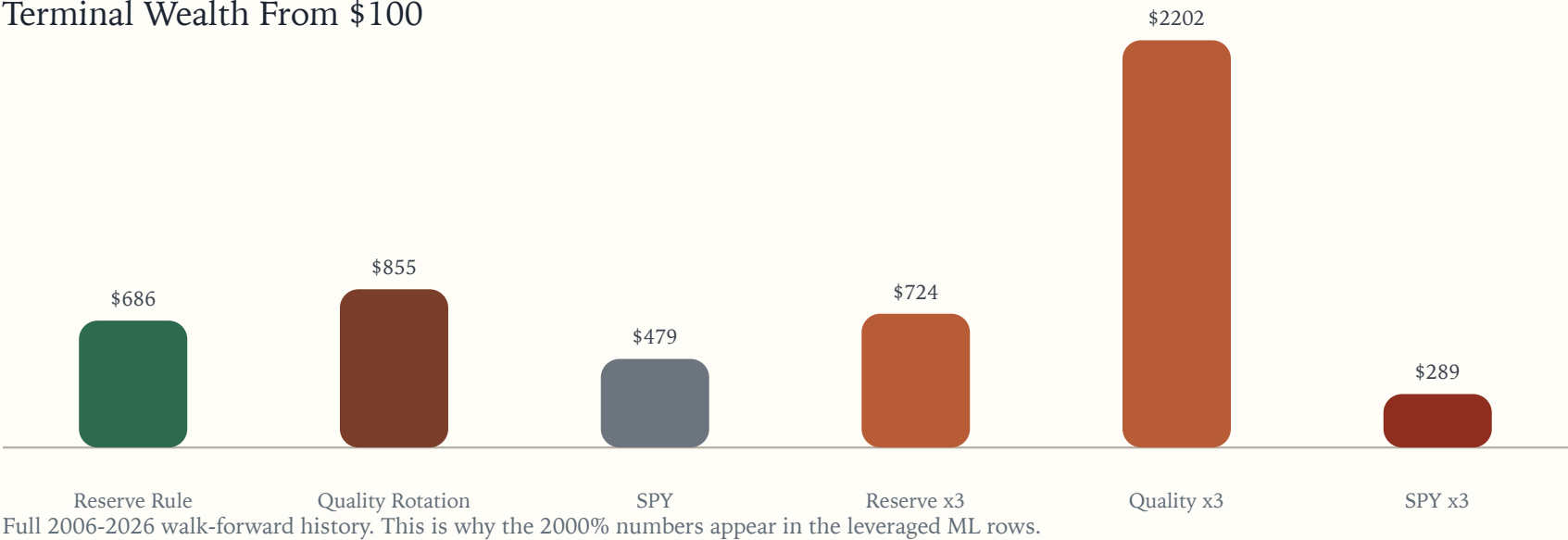
### SPY x3

Borrowing magnifies the pain faster than it improves the compounding path.

# Simple Scorecard And Bias Controls

This page answers two questions. Which ideas belong in the low-risk, balanced, and high-risk buckets? And why this is not a forward-looking backtest?

## Terminal Wealth From \$100



### RISK LADDER

#### High Reward Is Not The Same As High Quality

| STRATEGY         | BUCKET                        | HISTORY CAGR | HISTORY MAX DD | SHARPE | HOLDOUT CAGR | HOLDOUT MAX DD |
|------------------|-------------------------------|--------------|----------------|--------|--------------|----------------|
| Reserve Rule     | Lower risk / steadier reward  | +10.0%       | -31.5%         | 0.84   | +8.3%        | -1.6%          |
| Quality Rotation | Balanced risk / strong reward | +11.2%       | -35.6%         | 0.82   | +11.0%       | -3.0%          |
| Medium           |                               |              |                |        |              |                |

### SIMPLE READ

#### How To Use The Buckets

- **Lower risk / steadier reward:** the reserve rule. This is the most usable sleeve for real capital because drawdown is controlled and turnover is low.
- **Balanced risk / strong reward:** the unlevered quality rotation. This is the best pure alpha engine, but it asks for more turnover and a rougher path.
- **High risk / high reward:** the reserve x3 sleeve and the quality x3 model. These are tactical ideas, not default policy portfolios.
- **Extreme risk / weak reward quality:** SPY x3. It proves that leverage alone is not a strategy.